Further price hike on both PCB and CCL in 2H appears likely, as end customers are eager to get more capacity for future AI plans; revise up all PCB/CCL players TP by ~15%

18 April 2026 | 3:44AM CST

Based on our recent supply chain checks and our GC tech team's S/D analysis (see here), **we observed CCL/PCB pricing increase by 10-40%+ QoQ in April, and further expect additional rounds of price hike in 2H26/2027, with magnitude at least comparable to the recent price hike ratio (10-40%+ QoQ)**, considering the even stronger demand outlook and relatively stable industry capacity growth rate, which will further drive Taiwan CCL/PCB companies' revenue/profitability in coming quarters/ years. As a result, **we maintain our Buy rating on EMC/TUC/ZDT/GCE**, with better earnings outlook (revise up 2026-28 EPS estimate by 17%-29%), and raise TPs by ~15% (to NT$4,020/NT$1,165/NT$338/NT$1,380 respectively, from NT$3,500/NT$1,015/NT$295/1,210 prior).

CCL/PCB suppliers mentioned the end customers (CSPs) have shown a willingness to accept price hike, provided that the CCL/PCB suppliers can support the CSPs' timeline when discussions on price hikes began in 1Q26, as most CSPs forecast stronger volume demand for CCL/PCB over the coming years, due to increasing connectivity speed requirements and increasing data volume in AI servers/datacenters. Also, based on our calculations, AI PCB/CCL TAM only accounted for 0.1%-1.2% of the global top 5 CSPs CAPEX in the past 3 years, which we expect will increase to 1.4%/0.8% for PCB/CCL in 2026 and 3.3%/2.2% in 2027 (Exhibit 1). Considering AI PCB/CCL only account for a very low % of total CAPEX, we believe CSP customers are more inclined to accept higher pricing, as it will only impact a very small portion of their asset allocation strategy while more importantly ensuring timely ramp-up of new high-end AI projects and sustained AI deployment momentum. Moreover, we see all AI PCB/CCL companies in our coverage are accelerating their capacity expansion plans in 2027/28 with no visibility for 2029 for now.

On the other hand, we observe an interesting new AI PCB design trend in **PCB toward HDI upgrades while maintaining MLB + HDI hybrid, as we have started to see key MLB suppliers upgrade their HDI production equipment to the high end versions in newly added capacity.** Based on our understanding, the key ASIC AI PCB spec will upgrade from 3+N+3 HDI with 26+ layers MLB hybrid solution in 2026 to 6+N+6/9+N+9 HDI solution with 30+ layers MLB hybrid solution in 2H27-2028, implying a significant upgrade on HDI vs. MLB in the hybrid base solution design. As a result, we believe the key AI MLB suppliers (including GCE etc.) will likely also need to invest in high-end HDI production equipment, or possibly invest in testing equipment to improve their HDI production efficiency/production yield rate to support continued solid GM uptrend in coming years. **Moreover, tier 2 MLB players with established HDI production technology should benefit from solid spillover order demand**, considering tier 1 MLB players' relatively conservative capacity expansion plans and relatively limited capacity in high-end HDI.

Overall, **we are positive on the overall TW PCB/CCL suppliers' revenue/profitability outlook** due to solid demand uplift and the accelerated technology migration trend, as well as a notably more favorable pricing outlook in coming quarters/years. In addition, **we recommend investors to begin focusing on tier 2 MLB suppliers with solid HDI production capability, which we believe** are well positioned to gain share in **ASIC AI PCB in coming years.**

Exhibit 1: AI PCB/CCL TAM accounted for limited % of global top 5 CSPs' CAPEX
US$m

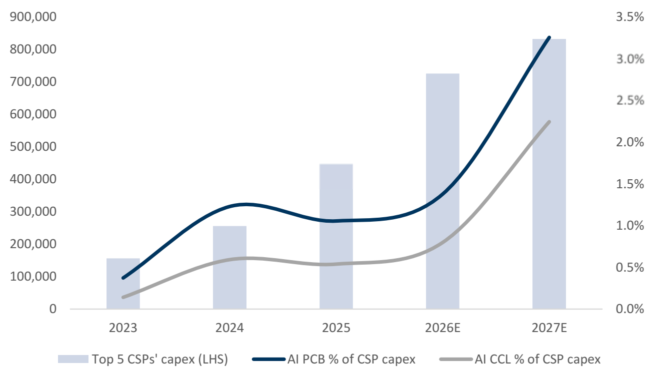
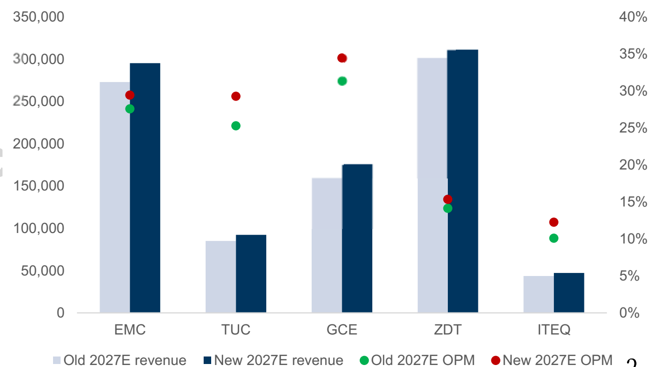


Exhibit 2: We expect revenue and OPM in 2027E to see more upside driven by price hike
NT$m



TUC

We revise up our 2026/27/28E EPS estimates by 10/18/25% to factor in the much better than expected CCL pricing outlook from 2H26 and beyond, and revise up our revenue estimates by 3/9/9%, with better GM outlook (revise up 2026/27/28E GM by 2.2/3.7/3.7ppt).

Exhibit 4: TUC earnings revision table

TUC P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.
Sales	53,438	51,741	3%	92,299	85,009	9%	142,075	130,739	9%
Gross Profit	15,924	14,293	11%	32,028	26,364	21%	51,312	42,408	21%
EBIT	12,262	10,697	15%	27,020	21,495	26%	44,126	35,403	25%
Net Income	8,961	8,167	10%	19,095	16,121	18%	33,041	26,499	25%
EPS (NT$)	**31.10**	**28.35**	**10%**	**66.28**	**55.96**	**18%**	**114.69**	**91.98**	**25%**
Ratio analysis									
Gross margin	29.8%	27.6%	2.2pp	34.7%	31.0%	3.7pp	36.1%	32.4%	3.7pp
EBIT margin	22.9%	20.7%	2.3pp	29.3%	25.3%	4.0pp	31.1%	27.1%	4.0pp
Net margin	16.8%	15.8%	1.0pp	20.7%	19.0%	1.7pp	23.3%	20.3%	3.0pp

Source: Company data, Goldman Sachs Global Investment Research

订阅研报添加微信 LCD123321Cad 04-18

GCE

We revise up our 2026/27/28E EPS estimates by 11/14/20% to factor in the better than expected high-end AI PCB industry pricing outlook from 2H26 onward (revise up 2026/27/28E revenue estimates by 6/10/10%), while we believe the better pricing outlook will also suggest faster product mix improvement progress (revise up 2026/27/28E GM by 2.0/2.7/2.7ppt).

Exhibit 5: GCE earnings revision table

订阅研报添加微信 LCD123321Cad 04-18

GCE P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.
Sales	106,609	100,933	6%	174,711	159,195	10%	210,363	191,681	10%
Gross Profit	41,289	37,082	11%	73,619	62,715	17%	90,255	77,001	17%
EBIT	32,529	28,661	13%	60,184	49,899	21%	74,189	61,671	20%
Net Income	21,341	19,243	11%	39,134	34,190	14%	51,329	42,618	20%
EPS (NT$)	**42.68**	**38.49**	**11%**	**78.27**	**68.38**	**14%**	**102.66**	**85.24**	**20%**
Ratio analysis									
Gross margin	38.7%	36.7%	2.0pp	42.1%	39.4%	2.7pp	42.9%	40.2%	2.7pp
EBIT margin	30.5%	28.4%	2.1pp	34.4%	31.3%	3.1pp	35.3%	32.2%	3.1pp
Net margin	20.0%	19.1%	1.0pp	22.4%	21.5%	0.9pp	24.4%	22.2%	2.2pp

Exhibit 6: ZDT earnings revision table

ZD Tech P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.
Sales	225,237	222,795	1%	311,287	301,806	3%	394,943	380,717	4%
Gross Profit	48,914	48,158	2%	78,146	73,037	7%	105,908	97,306	9%
EBIT	22,459	22,307	1%	47,732	42,590	12%	67,822	59,307	14%
Net Income	14,459	14,126	2%	30,056	26,221	15%	41,271	36,192	14%
EPS (NT$)	**14.45**	**14.12**	**2%**	**30.04**	**26.21**	**15%**	**41.25**	**36.18**	**14%**
Ratio analysis									
Gross margin	21.7%	21.6%	0.1pp	25.1%	24.2%	0.9pp	26.8%	25.6%	1.3pp
EBIT margin	10.0%	10.0%	0.0pp	15.3%	14.1%	1.2pp	17.2%	15.6%	1.6pp
Net margin	6.4%	6.3%	0.1pp	9.7%	8.7%	1.0pp	10.4%	9.5%	0.9pp

Source: Company data, Goldman Sachs Global Investment Research

ITEQ

We revise up our ITEQ 2026/27/28E revenue estimates by 4%/8%/8% to factor in better-than-expected CCL pricing starting from 2H26 and beyond. Moreover, we revise up our 2026/27/28E GM estimates by 1.0/1.9/1.9ppt to factor in the better GM outlook driven by price hikes, which should largely offset rising material costs. Overall, we revise up our 2026/27/28E earnings estimates by 9/29/29%.

Exhibit 7: ITEQ earnings revision table

ITEQ P&L (NT$ mn)	2026 New	2026 Old	Diff.	2027 New	2027 New	Diff.	2028 New	2028 New	Diff.
Sales	40,556	38,902	4%	47,154	43,687	8%	52,700	48,826	8%
Gross Profit	6,943	6,255	11%	9,232	7,730	19%	11,021	9,284	19%
EBIT	3,859	3,265	18%	5,778	4,399	31%	7,122	5,525	29%
Net Income	2,365	2,163	9%	4,218	3,262	29%	5,278	4,095	29%
EPS (NT$)	**6.52**	**5.96**	**9%**	**11.62**	**8.99**	**29%**	**14.54**	**11.28**	**29%**
Ratio analysis									
Gross margin	17.1%	16.1%	1.0pp	19.6%	17.7%	1.9pp	20.9%	19.0%	1.9pp
EBIT margin	9.5%	8.4%	1.1pp	12.3%	10.1%	2.2pp	13.5%	11.3%	2.2pp
Net margin	5.8%	5.6%	0.3pp	8.9%	7.5%	1.5pp	10.0%	8.4%	1.6pp

Exhibit 8: EMC P&L table

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Revenue	21,680	22,508	25,146	24,927	33,067	35,484	40,997	44,885	52,493	68,130	82,133	92,628	64,377	94,261	154,433	295,384	442,350
Gross profit	6,590	6,829	7,576	7,124	9,866	11,353	14,436	15,793	18,645	24,545	29,648	33,771	17,970	28,120	51,448	106,608	163,074
Operating expense	(2,051)	(2,186)	(2,586)	(2,190)	(2,645)	(2,945)	(3,280)	(3,411)	(3,937)	(4,565)	(5,421)	(5,743)	(5,818)	(9,012)	(12,282)	(19,665)	(26,517)
Operating income	4,540	4,644	4,990	4,935	7,221	8,407	11,156	12,382	14,708	19,981	24,227	28,028	12,152	19,108	39,166	86,943	136,557
Pretax income	4,667	4,467	5,122	4,620	7,221	8,407	11,156	12,382	14,608	19,881	24,127	28,028	12,133	18,876	39,166	86,643	136,557
Taxes expense	(1,200)	(989)	(1,157)	(884)	(1,444)	(2,102)	(2,789)	(3,095)	(3,652)	(4,970)	(6,032)	(7,007)	(2,564)	(4,231)	(9,431)	(21,661)	(34,139)
Net income	3,469	3,478	3,965	3,737	5,777	6,306	8,367	9,286	10,956	14,910	18,095	21,021	9,578	14,649	29,736	64,982	102,418
EPS, NT$	**10.01**	**10.02**	**11.19**	**10.45**	**16.16**	**17.63**	**23.40**	**25.97**	**30.64**	**41.70**	**50.60**	**58.79**	**27.81**	**41.67**	**83.16**	**181.73**	**286.42**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	30.4%	30.3%	30.1%	28.6%	29.8%	32.0%	35.2%	35.2%	35.5%	36.0%	36.1%	36.5%	27.9%	29.8%	33.3%	36.1%	36.9%
Operating expense ratio	9.5%	9.7%	10.3%	8.8%	8.0%	8.3%	8.0%	7.6%	7.5%	6.7%	6.6%	6.2%	9.0%	9.6%	8.0%	6.7%	6.0%
Operating margin	20.9%	20.6%	19.8%	19.8%	21.8%	23.7%	27.2%	27.6%	28.0%	29.3%	29.5%	30.3%	18.9%	20.3%	25.4%	29.4%	30.9%
Net margin	16.0%	15.5%	15.8%	15.0%	17.5%	17.8%	20.4%	20.7%	20.9%	21.9%	22.0%	22.7%	14.9%	15.5%	19.3%	22.0%	23.2%
QoQ growth (%)																	
Revenue	16.8%	3.8%	11.7%	-0.9%	32.7%	7.3%	15.5%	9.5%	16.9%	29.8%	20.6%	12.8%	-	-	-	-	-
Gross profit	24.8%	3.6%	10.9%	-6.0%	38.5%	15.1%	27.2%	9.4%	18.1%	31.6%	20.8%	13.9%	-	-	-	-	-
Operating income	28.8%	2.3%	7.5%	-1.1%	46.3%	16.4%	32.7%	11.0%	18.8%	35.9%	21.3%	15.7%	-	-	-	-	-
Net income	31.0%	0.3%	14.0%	-5.8%	54.6%	9.2%	32.7%	11.0%	18.0%	36.1%	21.4%	16.2%	-	-	-	-	-
YoY growth (%)																	
Revenue	68.0%	45.7%	44.0%	34.3%	52.5%	57.7%	63.0%	80.1%	58.7%	92.0%	100.3%	106.4%	56%	46%	64%	91%	50%
Gross profit	76.3%	61.3%	60.7%	34.9%	49.7%	66.2%	90.5%	121.7%	89.0%	116.2%	105.4%	113.8%	59%	56%	83%	107%	53%
Operating income	79.0%	58.8%	57.6%	40.0%	59.1%	81.1%	123.6%	150.9%	103.7%	137.7%	117.2%	126.4%	65%	57%	105%	122%	57%
Net income	75.3%	42.8%	57.6%	41.1%	66.5%	81.3%	111.0%	148.5%	89.7%	136.5%	116.3%	126.4%	75%	53%	103%	119%	58%

Source: Company data, Goldman Sachs Global Investment Research

TUC

We revise up TUC's 12m TP from NT$1,015 to NT$1,165, based on the same 22x P/E on 4Q26-3Q27E EPS (which is in-line with the AI PCB industry average valuation in the past 3 years), to better reflect the much more favorable than expected pricing outlook in coming quarters/years factoring in our earnings revision.

Exhibit 9: TUC P&L table

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025E	2026E	2027E	2028E
Revenue	6,372	6,780	8,063	9,125	10,056	12,515	15,041	15,826	16,878	19,745	26,156	29,521	23,070	30,340	53,438	92,299	142,075
Gross profit	1,533	1,435	1,915	2,015	2,375	3,277	4,906	5,367	5,816	6,704	9,073	10,436	5,342	6,898	15,924	32,028	51,312
Operating expense	(597)	(583)	(649)	(725)	(764)	(876)	(993)	(1,029)	(1,063)	(1,165)	(1,334)	(1,447)	(2,010)	(2,554)	(3,662)	(5,009)	(7,186)
Operating income	936	853	1,266	1,290	1,610	2,401	3,913	4,338	4,752	5,539	7,739	8,989	3,332	4,344	12,262	27,020	44,126
Pretax income	935	840	1,318	1,426	1,574	2,381	3,913	3,818	4,232	5,019	7,219	8,989	3,378	4,519	11,686	25,460	44,055
Taxes expense	(263)	(188)	(315)	(344)	(346)	(524)	(939)	(916)	(1,058)	(1,255)	(1,805)	(2,247)	(773)	(1,109)	(2,726)	(6,365)	(11,014)
Net income	672	652	1,003	1,082	1,228	1,857	2,974	2,902	3,174	3,764	5,414	6,742	2,604	3,409	8,961	19,095	33,041
EPS, NT$	**2.43**	**2.36**	**3.58**	**3.76**	**4.26**	**6.45**	**10.32**	**10.07**	**11.02**	**13.07**	**18.79**	**23.40**	**9.56**	**12.13**	**31.10**	**66.28**	**114.69**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	24.1%	21.2%	23.7%	22.1%	23.6%	26.2%	32.6%	33.9%	34.5%	34.0%	34.7%	35.4%	23.2%	22.7%	29.8%	34.7%	36.1%
Operating expense ratio	9.4%	8.6%	8.1%	7.9%	7.6%	7.0%	6.6%	6.5%	6.3%	5.9%	5.1%	4.9%	8.7%	8.4%	6.9%	5.4%	5.1%
Operating margin	14.7%	12.6%	15.7%	14.1%	16.0%	19.2%	26.0%	27.4%	28.2%	28.1%	29.6%	30.5%	14.4%	14.3%	22.9%	29.3%	31.1%
Net margin	10.6%	9.6%	12.4%	11.9%	12.2%	14.8%	19.8%	18.3%	18.8%	19.1%	20.7%	22.8%	11.3%	11.2%	16.8%	20.7%	23.3%
QoQ growth (%)																	
Revenue	1.0%	6.4%	18.9%	13.2%	10.2%	24.5%	20.2%	5.2%	6.6%	17.0%	32.5%	12.9%	-	-	-	-	-
Gross profit	4.7%	-6.4%	33.4%	5.2%	17.9%	38.0%	49.7%	9.4%	8.4%	15.3%	35.3%	15.0%	-	-	-	-	-
Operating income	0.4%	-8.9%	48.4%	1.9%	24.9%	49.1%	63.0%	10.9%	9.5%	16.6%	39.7%	16.2%	-	-	-	-	-
Net income	-4.6%	-3.1%	53.8%	8.0%	13.4%	51.2%	60.1%	-2.4%	9.4%	18.6%	43.8%	24.5%	-	-	-	-	-
YoY growth (%)																	
Revenue	43.7%	18.9%	21.8%	44.6%	57.8%	84.6%	86.6%	73.4%	67.8%	57.8%	73.9%	86.5%	44%	32%	76%	73%	54%
Gross profit	51.5%	5.3%	27.4%	37.7%	54.9%	128.3%	156.2%	166.4%	144.9%	104.6%	84.9%	94.4%	69%	29%	131%	101%	60%
Operating income	65.8%	-1.6%	30.6%	38.4%	72.1%	181.6%	209.2%	236.4%	195.1%	130.7%	97.8%	107.2%	134%	30%	182%	120%	63%
Net income	48.8%	-6.0%	33.0%	53.6%	82.6%	185.0%	196.6%	168.1%	158.5%	102.7%	82.1%	132.3%	216%	31%	163%	113%	73%

Exhibit 10: GCE P&L table

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Revenue	12,063	13,853	17,680	16,408	19,342	23,121	29,411	34,735	32,917	40,297	48,610	52,887	38,952	60,004	106,609	174,711	210,363
Gross profit	3,776	4,095	6,288	5,524	7,021	8,459	11,897	13,912	13,204	16,941	20,741	22,734	11,396	19,683	41,289	73,619	90,255
Operating expense	(1,233)	(1,228)	(1,641)	(1,538)	(1,741)	(1,988)	(2,412)	(2,619)	(2,681)	(3,159)	(3,714)	(3,882)	(3,329)	(5,640)	(8,760)	(13,436)	(16,067)
Operating income	2,543	2,868	4,647	3,986	5,280	6,471	9,485	11,293	10,523	13,781	17,027	18,852	8,067	14,043	32,529	60,184	74,189
Pretax income	2,653	2,509	4,730	4,281	5,280	6,471	9,985	9,493	8,773	12,031	15,277	19,852	8,490	14,173	31,229	55,934	73,739
Taxes expense	(900)	(815)	(1,501)	(1,351)	(1,584)	(2,071)	(3,195)	(3,038)	(2,807)	(3,850)	(4,583)	(5,558)	(2,875)	(4,567)	(9,888)	(16,799)	(22,410)
Net income	1,753	1,694	3,229	2,930	3,696	4,400	6,790	6,455	5,966	8,181	10,694	14,293	5,616	9,607	21,341	39,134	51,329
EPS, NT$	**3.60**	**3.48**	**6.53**	**5.86**	**7.39**	**8.80**	**13.58**	**12.91**	**11.93**	**16.36**	**21.39**	**28.59**	**11.54**	**19.48**	**42.68**	**78.27**	**102.66**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	31.3%	29.6%	35.6%	33.7%	36.3%	36.6%	40.5%	40.1%	40.1%	42.0%	42.7%	43.0%	29.3%	32.8%	38.7%	42.1%	42.9%
Operating expense ratio	10.2%	8.9%	9.3%	9.4%	9.0%	8.6%	8.2%	7.5%	8.1%	7.8%	7.6%	7.3%	8.5%	9.4%	8.2%	7.7%	7.6%
Operating margin	21.1%	20.7%	26.3%	24.3%	27.3%	28.0%	32.3%	32.5%	32.0%	34.2%	35.0%	35.6%	20.7%	23.4%	30.5%	34.4%	35.3%
Net margin	14.5%	12.2%	18.3%	17.9%	19.1%	19.0%	23.1%	18.6%	18.1%	20.3%	22.0%	27.0%	14.4%	16.0%	20.0%	22.4%	24.4%
QoQ growth (%)																	
Revenue	22.4%	14.8%	27.6%	-7.2%	17.9%	19.5%	27.2%	18.1%	-5.2%	22.4%	20.6%	8.8%	-	-	-	-	-
Gross profit	47.7%	8.5%	53.5%	-12.1%	27.1%	20.5%	40.6%	16.9%	-5.1%	28.3%	22.4%	9.6%	-	-	-	-	-
Operating income	55.5%	12.8%	62.0%	-14.2%	32.5%	22.5%	46.6%	19.1%	-6.8%	31.0%	23.6%	10.7%	-	-	-	-	-
Net income	36.7%	-3.4%	90.6%	-9.3%	26.2%	19.0%	54.3%	-4.9%	-7.6%	37.1%	30.7%	33.7%	-	-	-	-	-
YoY growth (%)																	
Revenue	33.1%	44.7%	69.1%	66.5%	60.3%	66.9%	66.4%	111.7%	70.2%	74.3%	65.3%	52.3%	30%	54%	78%	64%	20%
Gross profit	55.0%	35.3%	86.2%	116.1%	85.9%	106.6%	89.2%	151.9%	88.1%	100.3%	74.3%	63.4%	48%	73%	110%	78%	23%
Operating income	47.3%	30.3%	85.5%	143.7%	107.6%	125.6%	104.1%	183.3%	99.3%	113.0%	79.5%	66.9%	57%	74%	132%	85%	23%
Net income	44.0%	11.4%	102.5%	128.5%	110.9%	159.7%	110.3%	120.3%	61.4%	85.9%	57.5%	121.4%	59%	71%	122%	83%	31%

Source: Company data, Goldman Sachs Global Investment Research

ZDT

We revise up ZDT 12m TP from NT$295 to NT$338, still based on our SOTP based valuation methodology of (1) 2.6x blended P/B for ABF & BT substrate (in-line with early upcycle industry average), (2) 20x P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x P/E for low-growth consumer electronics PCB (in-line with industry downcycle average valuation), and maintain our valuation period at 4Q26-3Q27, factoring in our earnings revision.

Exhibit 11: ZDT P&L table

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Revenue	40,082	38,203	47,366	56,870	40,728	51,129	62,954	70,425	61,488	66,758	85,169	97,872	171,664	182,522	225,237	311,287	394,943
Gross profit	5,885	7,011	10,410	12,830	5,993	9,371	15,399	18,150	12,745	15,400	23,383	26,618	32,461	36,136	48,914	78,146	105,908
Operating expense	(4,829)	(4,586)	(5,880)	(6,909)	(5,376)	(6,775)	(7,051)	(7,254)	(6,272)	(7,176)	(8,304)	(8,662)	(20,875)	(22,205)	(26,455)	(30,414)	(38,086)
Operating income	1,056	2,425	4,530	5,921	617	2,596	8,349	10,897	6,474	8,223	15,079	17,957	11,586	13,932	22,459	47,732	67,822
Pretax income	1,457	2,272	4,661	5,673	717	2,696	8,849	11,897	7,274	8,923	15,179	18,957	15,045	14,063	24,159	50,332	69,122
Taxes expense	(431)	(885)	(1,072)	(1,070)	(122)	(458)	(1,327)	(1,784)	(1,237)	(1,517)	(2,277)	(2,844)	(1,948)	(3,458)	(3,692)	(7,874)	(10,828)
Net income	632	605	2,392	3,161	427	1,585	5,309	7,138	4,328	5,247	9,107	11,374	9,180	6,791	14,459	30,056	41,271
EPS, NT$	**0.66**	**0.63**	**2.46**	**3.16**	**0.43**	**1.58**	**5.31**	**7.14**	**4.33**	**5.24**	**9.10**	**11.37**	**9.67**	**6.91**	**14.45**	**30.04**	**41.25**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	14.7%	18.4%	22.0%	22.6%	14.7%	18.3%	24.5%	25.8%	20.7%	23.1%	27.5%	27.2%	18.9%	19.8%	21.7%	25.1%	26.8%
Operating expense ratio	12.0%	12.0%	12.4%	12.1%	13.2%	13.3%	11.2%	10.3%	10.2%	10.8%	9.8%	8.9%	12.2%	12.2%	11.7%	9.8%	9.6%
Operating margin	2.6%	6.3%	9.6%	10.4%	1.5%	5.1%	13.3%	15.5%	10.5%	12.3%	17.7%	18.3%	6.7%	7.6%	10.0%	15.3%	17.2%
Net margin	1.6%	1.6%	5.0%	5.6%	1.0%	3.1%	8.4%	10.1%	7.0%	7.9%	10.7%	11.6%	5.3%	3.7%	6.4%	9.7%	10.4%
QoQ growth (%)																	
Revenue	-28.6%	-4.7%	24.0%	20.1%	-28.4%	25.5%	23.1%	11.9%	-12.7%	8.6%	27.6%	14.9%	-	-	-	-	-
Gross profit	-48.7%	19.1%	48.5%	23.2%	-53.3%	56.4%	64.3%	17.9%	-29.8%	20.8%	51.8%	13.8%	-	-	-	-	-
Operating income	-81.0%	129.6%	86.8%	30.7%	-89.6%	320.6%	221.6%	30.5%	-40.6%	27.0%	83.4%	19.1%	-	-	-	-	-
Net income	-85.5%	-4.3%	295.3%	32.2%	-86.5%	271.5%	234.9%	34.4%	-39.4%	21.2%	73.6%	24.9%	-	-	-	-	-
YoY growth (%)																	
Revenue	23.3%	17.9%	-6.4%	1.3%	1.6%	33.8%	32.9%	23.8%	51.0%	30.6%	35.3%	39.0%	13%	6%	23%	38%	27%
Gross profit	10.3%	65.1%	-8.7%	11.9%	1.8%	33.7%	47.9%	41.5%	112.7%	64.3%	51.8%	46.7%	18%	11%	35%	60%	36%
Operating income	42.2%	-476.8%	-23.6%	6.6%	-41.5%	7.1%	84.3%	84.0%	948.8%	216.8%	80.6%	64.8%	26%	20%	61%	113%	42%
Net income	-35.3%	24.5%	-28.7%	-27.5%	-32.5%	162.0%	122.0%	125.8%	914.1%	231.0%	71.5%	59.3%	48%	-26%	113%	108%	37%

Exhibit 12: ITEQ P&L table

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Revenue	7,580	8,877	7,724	8,917	9,143	9,273	10,904	11,236	11,196	11,657	12,315	11,985	29,378	33,099	40,556	47,154	52,700
Gross profit	1,080	1,384	1,061	1,261	1,325	1,453	1,984	2,180	2,033	2,268	2,465	2,465	3,690	4,785	6,943	9,232	11,021
Operating expense	(558)	(596)	(615)	(633)	(686)	(705)	(861)	(831)	(829)	(851)	(936)	(839)	(2,339)	(2,402)	(3,083)	(3,454)	(3,899)
Operating income	521	788	446	627	640	748	1,123	1,349	1,205	1,417	1,529	1,626	1,351	2,383	3,859	5,778	7,122
Pretax income	535	670	521	641	640	658	1,033	1,259	1,115	1,417	1,529	1,626	1,317	2,367	3,589	5,688	7,122
Taxes expense	(198)	(250)	(196)	(213)	(224)	(230)	(392)	(378)	(312)	(369)	(382)	(407)	(496)	(856)	(1,224)	(1,470)	(1,844)
Net income	337	420	325	428	416	428	640	881	803	1,049	1,147	1,220	822	1,510	2,365	4,218	5,278
EPS, NT$	**0.93**	**1.16**	**0.89**	**1.18**	**1.15**	**1.18**	**1.76**	**2.43**	**2.21**	**2.89**	**3.16**	**3.36**	**2.26**	**4.16**	**6.52**	**11.62**	**14.54**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	14.2%	15.6%	13.7%	14.1%	14.5%	15.7%	18.2%	19.4%	18.2%	19.5%	20.0%	20.6%	12.6%	14.5%	17.1%	19.6%	20.9%
Operating expense ratio	7.4%	6.7%	8.0%	7.1%	7.5%	7.6%	7.9%	7.4%	7.4%	7.3%	7.6%	7.0%	8.0%	7.3%	7.6%	7.3%	7.4%
Operating margin	6.9%	8.9%	5.8%	7.0%	7.0%	8.1%	10.3%	12.0%	10.8%	12.2%	12.4%	13.6%	4.6%	7.2%	9.5%	12.3%	13.5%
Net margin	4.4%	4.7%	4.2%	4.8%	4.5%	4.6%	5.9%	7.8%	7.2%	9.0%	9.3%	10.2%	2.8%	4.6%	5.8%	8.9%	10.0%
QoQ growth (%)																	
Revenue	-1.1%	17.1%	-13.0%	15.4%	2.5%	1.4%	17.6%	3.0%	-0.4%	4.1%	5.6%	-2.7%					
Gross profit	5.6%	28.2%	-23.3%	18.9%	5.1%	9.6%	36.5%	9.9%	-6.7%	11.6%	8.7%	0.0%					
Operating income	35.0%	51.1%	-43.4%	40.7%	1.9%	17.0%	50.0%	20.2%	-10.7%	17.6%	7.9%	6.4%					
Net income	54.0%	24.8%	-22.8%	31.9%	-2.9%	2.9%	49.6%	37.7%	-8.9%	30.7%	9.3%	6.4%					
YoY growth (%)																	
Revenue	23.1%	16.9%	-3.0%	16.3%	20.6%	4.5%	41.2%	26.0%	22.5%	25.7%	12.9%	6.7%	17%	13%	23%	16%	12%
Gross profit	37.7%	45.7%	13.5%	23.3%	22.8%	5.0%	87.1%	72.9%	53.4%	56.1%	24.2%	13.1%	19%	30%	45%	33%	19%
Operating income	111.6%	133.1%	17.3%	62.5%	22.7%	-5.1%	151.7%	115.0%	88.4%	89.4%	36.2%	20.6%	36%	76%	62%	50%	23%
Net income	119.2%	110.0%	30.3%	95.8%	23.4%	1.8%	97.2%	105.7%	93.1%	145.1%	79.1%	38.4%	21%	84%	57%	78%	25%
EPS	119.2%	110.0%	30.3%	95.8%	23.4%	1.8%	97.2%	105.7%	93.1%	145.1%	79.1%	38.4%	21%	84%	57%	78%	25%

Source: Company data, Goldman Sachs Global Investment Research

Investment thesis, PT methodology and risks

EMC, a key supplier of high-end HDI material (70%+ market share) and SLP material (90%+ market share), has been focusing on the high-speed switch/server CCL market for 3+ years. We are positive on its market share trajectory in the server industry and expect EMC to increase its share from <10% in the Purley generation to 15-20%/20+% in the Whitley/Eagle Stream platforms. EMC is also proactively expanding its share in the switch market (40%/30%+ in 2024/23 vs. <5% before 2019), with an expanding AI customer base (only one 400G customer in 3Q20, to being one of the largest suppliers in 2023), which should continue to benefit the company's top/bottom line growth over time. We believe EMC's leading position in the AI server CCL market should drive strong revenue growth and GM/OPM expansion in the long term, given that it is the major supplier for all Nvidia/Google/AWS AI server projects, and we expect it to maintain its leadership position. Considering its leading position in the high-end CCL industry, solid production skills and earnings growth outlook, we are Buy rated on the stock. With the shares trading at a 2026E P/E below AI server component suppliers and supported by a solid growth outlook, we view valuation as attractive.

Key downside risks include: (1) RCC to replace all high-end smartphone HDI design; (2) rising trade tensions, which could lead to weaker smartphone and server shipments; and (3) rising competition from mainland China peers

Valuation methodology: Our 12m TP of NT$4,020 is based on 27x 4Q26E-3Q27E P/E (in line with the peak P/E multiple for AI component suppliers in past 3 years).

Key downside risks: (1) RCC to replace all high-end smartphone HDI design; (2) rising trade tensions, which could lead to weaker smartphone and server shipments; and (3) rising competition from mainland China peers.

TUC is a key high-end global CCL supplier that focuses on M7+ grade high-speed CCL (key applications include high-end switches (100G+) and AI server materials), with 20%+ market share in the past two years. The company continues to expect its unit market share in the server industry to increase from 15% in Whitley and Purley to higher in the Eagle Stream generation, given its plans to launch two types of products for low-end and high-end customers (T2A and T2C) to gain market share. Also, strong growth in 400G/800G switch shipments and new 800G switch shipments, scheduled for launch in 2025-27, should continue to be a key demand driver for TUC, in our view. Additionally, the company is working on high-end AI projects with CSP and enterprise players, which we believe should drive revenue momentum in the long term. We view the stock as undervalued vs. Taiwan CCL peers on a P/E basis and rate it Buy.

Key downside risks include: (1) slower-than-expected share gains in the low-loss CCL segment; (2) rising trade tensions, which could lead to weaker server and switch shipments globally; and (3) rising competition from mainland China peers.

Valuation methodology: Our 12m TP of NT$1,165 is based on 22x 4Q26-3Q27 P/E (+2x STDV higher than the past 3-year industry average P/E multiple).

Key downside risks: (1) slower-than-expected share gains in the low-loss CCL segment; (2) rising trade tensions, which could lead to weaker server and switch shipments globally; and (3) rising competition from mainland China peers.

GCE is a key cloud (server+switch) PCB supplier globally with 20%+ market share in 2022. We expect cloud PCB market demand to grow at a 15% 2024E-26E CAGR (far stronger than the overall RPCB+HDI market demand growth rate at 5% 2024E-26E CAGR). We believe GCE's proactive capacity expansion plan (33% in 2026) and high annualized ROI (300%+) will continue to drive the company's revenue/margin level in the coming quarters/years. Additionally, we believe GCE can continue to see strong demand from the increasing content per server/switch, as we expect both markets to see a 20-50%+ layer count increase after the generation upgrade (upgrade to 400G/Eagle Stream). We are constructive on GCE's long-term growth opportunity given its solid position in the rapidly growing cloud PCB market, and we are Buy rated on the stock. GCE is trading higher than its historical P/E average level driven by strong AI server demand, but lower than the TW AI server players' average.

Price Target Risks and Methodology

Valuation methodology: Our 12m TP of NT$1,380 is based on a 22x 4Q26-3Q27E P/E (in-line with the AI PCB leader valuation in past 3 years).

Key downside risks: (1) weaker-than-expected AI server market demand; (2) delays in the company's Nvidia OAM/UBB product qualification, (3) weaker-than-expected HDI demand, and (4) high than expected ramp up cost for new capacity

Zhen Ding Technology (ZDT) is the global leading PCB supplier (top 1 in market share in sales) with 7-10% market share, and started its ABF substrate business from 2023 in Shenzhen, China, and has the highest ABF revenue exposure to the China market compared to all other ABF substrate suppliers. We believe ZDT will hold more than 40% ABF substrate market share in China by 2027E (up from 31% in 2024) and benefit the most from the strong and growing China ABF substrate market (53% 2025E-27E CAGR) due to the increasing in-sourcing ratio for the AI computing ASIC/GPU market in China. We also expect the increasing foldable smartphone penetration rate in the long term to drive ZDT's FPC TAM, and account for 50% of the company's total revenue in 2027E. We see further revenue upside potential from foldable phones. We are Buy rated mainly due to our positive view on the company's China ABF substrate business opportunity, which should not only drive ZDT's revenue growth, but also improve its OPM level in the long term. We see upside for the stock price considering the company's solid growth opportunity, and our TP implied P/E multiple is still lower than the company's past 10+ year P/E average, which we believe is fair considering the potential upside from China ABF substrate market and increasing foldable phone penetration rate.

Valuation: Our 12-month TP of NT$338 is based on a SOTP valuation methodology, including (1) 2.6x blended 4Q26-3Q27E P/B for ABF & BT substrate, (2) 20x 4Q26-3Q27E P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x 4Q26-3Q27E P/E for low-growth consumer electronics PCB (in-line with industry downcycle average valuation).

Key downside risks include: (1) weaker-than-expected iPhone demand or slower content upgrade, (2) delay in new substrate capacity or slower-than-expected yield rate ramp up progress, and (3) fiercer competition in China ABF market.

ITEQ is a key high-end CCL player, mainly focused on the server market (15-20% global share as of 2024). While we are positive on its long-term outlook given promising growth in the server CCL and automotive high-speed CCL markets, we continue to see a weaker than peer revenue/profitability outlook, considering the company's lagging technology. Further, we believe the mid- to low-end CCL market oversupply issue will continue in the coming years, weighing on ITEQ's profitability in the foreseeable future. Meanwhile, the company is trading at a 2026E P/E that is much higher than the average peak valuation and Taiwan peers. We are Sell rated on the stock. Key upside risks: (1) stronger-than-expected demand from server/switch segments in the coming years; (2) stronger-than-expected CCL pricing hikes in the coming quarters without component cost increases; and (3) stronger-than-expected 5G BTS demand globally in the coming quarters.

Valuation methodology: Our 12m TP of NT$102 is based on a 2Q26E-1Q27E P/E multiple of 13.5x (-0.5x s.d. lower than past 10-year average valuation).

Key upside risks: (1) stronger-than-expected demand from server/switch segments in the coming years; (2) stronger-than-expected CCL pricing hikes in the coming quarters without component cost increases; and (3) stronger-than-expected 5G BTS demand globally in the coming quarters.